



Second Quarter 2012 Earnings Call

Overview

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Agenda

1. Second Quarter 2012 Results

Raymond McDaniel, President and Chief Executive Officer

2. Financial and Operating Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. Regulatory Developments

Raymond McDaniel, President and Chief Executive Officer

4. 2012 Outlook

Raymond McDaniel, President and Chief Executive Officer

5. Q&A

Raymond McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Michel Madelain, President and Chief Operating Officer, Moody's Investors Service

Mark Almeida, President, Moody's Analytics

1. Second Quarter 2012 Results

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Second Quarter 2012 Results and Comparison to Second Quarter 2011

Moody's Corporation

- » Revenue  6% to \$641 million
- » Expenses  8% to \$362 million
- » Operating Income  3% to \$279 million
- » Reported EPS  7% to \$0.76

Year-to-Date 2012 Performance and Comparison to Year-to-Date 2011

Moody's Corporation

» Revenue	↑ 9% to \$1.3 billion
— MIS	↑ 5% to \$894 million
— MA	↑ 19% to \$394 million
» Expense	↑ 12% to \$740 million
» Operating Income	↑ 5% to \$548 million
» Reported EPS	↑ 2% to \$1.52

2. Financial and Operating Highlights

LINDA HUBER

EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

Second Quarter 2012 Results and Comparison to Second Quarter 2011

Moody's Corporation Revenue

- | | |
|---------------------|---|
| » Total Global | ↑ 6% at \$641 million |
| » U.S. | ↑ 9% to \$344 million |
| » Non-U.S. | ↑ 2% to \$297 million <ul style="list-style-type: none">• 46% of Total Global |
| » Recurring revenue | • \$338 million <ul style="list-style-type: none">• 53% of Total Global |

Second Quarter 2012 Results and Comparison to Second Quarter 2011

MIS Revenue by Geography

- » Total MIS ↔ flat at \$441 million
- » U.S. ↑ 5% to \$258 million
- » Non-U.S. ↓ 5% to \$183 million
 - 42% of Total MIS

Second Quarter 2012 Results and Comparison to Second Quarter 2011

MIS Revenue by Line of Business

» Corporate Finance: \$192 million

- Global ↓ 4%
- U.S. ↓ 4%
- Non-U.S. ↓ 4%

» Structured Finance: \$91 million

- Global ↑ 5%
- U.S. ↑ 22%
- Non-U.S. ↓ 9%

Second Quarter 2012 Results and Comparison to Second Quarter 2011

MIS Revenue by Line of Business

» Financial Institutions: \$78 million

- Global ↓ 2%
- U.S. ↔ flat
- Non-U.S. ↓ 3%

» Public, Project & Infrastructure Finance: \$81 million

- Global ↑ 12%
- U.S. ↑ 19%
- Non-U.S. ↓ 3%

Second Quarter 2012 Results and Comparison to Second Quarter 2011

MA Revenue by Geography

- » Total MA ↑ 19% to \$200 million

- » U.S. ↑ 23% to \$86 million

- » Non-U.S. ↑ 17% to \$114 million
 - 57% of Total MA

Second Quarter 2012 Results and Comparison to Second Quarter 2011

MA Revenue by Line of Business

- » Research, Data and Analytics ↑ 9% to \$121 million
- » Enterprise Risk Solutions ↑ 24% to \$52 million
- » Professional Services ↑ 84% to \$27 million

Second Quarter 2012 Results and Comparison to Second Quarter 2011

Moody's Corporation

- » Total expenses ↑ 8% to \$362 million

- » Operating margin
 - 43.5%
 - down from 44.6% in 2Q11

- » Effective tax rate
 - 33.6%
 - up from 27.8% in 2Q11

Capital Allocation and Balance Sheet

- » During 2Q12, repurchased 2.7 million shares at a total cost of \$100 million and issued 0.3 million shares under employee stock-based compensation plans
- » Shares outstanding totaled 222.3 million at June 30, 2012
 - Decreased 3% from June 30, 2011
- » \$0.8 billion of share repurchase authority remaining as of June 30, 2012
- » Moody's still expects full-year 2012 share repurchases of approximately \$200 million, subject to available cash, market conditions, and other ongoing capital allocation decisions
- » At June 30, 2012, Moody's had:
 - \$1.2 billion of outstanding debt
 - \$1.0 billion of additional debt capacity under credit facility
 - Cash and cash equivalents of \$824 million, approximately 85% of which were maintained outside the U.S.

3. Regulatory Developments

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

Regulatory Developments

United States: *(the following developments are related to the Dodd-Frank Act)*

- SEC is expected to adopt final rules relevant to NRSROs by year-end 2012
- SEC study about the feasibility of establishing an alternative system for allocating credit rating assignments for structured finance products is expected to be completed by year-end 2012

European Union:

- Moody's received its EU registration by ESMA in October 2011
- In November 2011, the European Commission released new regulatory reform proposals for the rating agency industry (CRA3)
- The European legislative process requires that the European Parliament and the Council of Finance Ministers of the individual EU Member States each produce its own version of the text, and then enter into discussions with the Commission
- In May and June 2012, the Council and the Parliament, respectively, finalized their positions on CRA3. We expect the necessary compromise discussions to continue through the autumn months and for CRA3 to be finalized before year-end 2012

4. 2012 Outlook

RAYMOND MCDANIEL
PRESIDENT AND CHIEF EXECUTIVE OFFICER

MCO 2012 Full-Year Financial Outlook

- » Revenue
 - ↑ low-double-digit % range
- » Expenses
 - ↑ low-double-digit % range
- » Operating Margin
 - approximately 39%
- » Effective Tax Rate
 - approximately 33%
- » EPS
 - \$2.62 - \$2.72 (expect to be toward the upper end of the range)
- » Share Repurchase
 - approximately \$200 million (subject to available cash, market conditions, and other, ongoing capital allocation decisions)

Refer to “Moody’s Corporation Reports Results for Second Quarter 2012” press release for a full review of guidance

MCO 2012 Full-Year Financial Outlook (continued)

- » Capital Expenditures
 - approximately \$60 million to \$70 million
- » Depreciation and Amortization
 - approximately \$100 million
- » MCO Incremental Compliance and Regulatory Expense
 - approximately \$10 million to \$15 million

Refer to “Moody’s Corporation Reports Results for Second Quarter 2012” press release for a full review of guidance

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- | | |
|------------------------------------|---|
| » Global | ↑ mid- to high-single-digit % range |
| » U.S. | ↑ low-double-digit % range |
| » Non-U.S. | ↑ low-single-digit % range |
| » Corporate Finance | ↑ high-single-digit to low-double-digit % range |
| » Structured Finance | ↔ flat to slightly up |
| » Financial Institutions | ↔ flat to slightly up |
| » Public, Project & Infrastructure | ↑ mid-teens % range |

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- | | |
|------------------------------|----------------------------|
| » Global | ↑ high-teens % range |
| » U.S. | ↑ high-teens to 20% range |
| » Non-U.S. | ↑ high-teens % range |
| » Research, Data & Analytics | ↑ mid-single-digit % range |
| » Enterprise Risk Solutions | ↑ low 20's % range |
| » Professional Services | ↑ approximately 75% |

5. Q&A Session

- » Raymond McDaniel

President and Chief Executive Officer, Moody's Corporation

- » Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

- » Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

- » Mark Almeida

President, Moody's Analytics

Replay Details

» Available from 3:30pm (Eastern Time) July 26, 2012 until 11:59pm (Eastern Time) August 24, 2012

» Telephone Details:

- U.S. 1-888-203-1112
- Non-U.S. +1-719-457-0820
- Passcode 7945945

» Webcast Details:

- Go to <http://ir.moodys.com>
- Click on “Events & Presentations” featured on the left
- Click on the link for “Q2 2012 Earnings Conference Call”

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
<i>Amounts in millions, except per share amounts</i>	2012	2011	2012	2011
Revenue	\$ 640.8	\$ 605.2	\$1,287.6	\$1,182.3
Expenses:				
Operating	180.6	170.5	366.1	331.3
Selling, general and administrative	159.6	142.9	328.4	291.4
Restructuring	-	(0.1)	-	(0.1)
Depreciation and amortization	22.1	21.8	45.6	39.5
Total expenses	362.3	335.1	740.1	662.1
Operating income	278.5	270.1	547.5	520.2
Non-operating (expense) income, net				
Interest (expense) income, net	(16.6)	(14.1)	(26.9)	(32.3)
Other non-operating (expense) income, net	2.7	8.2	2.6	11.5
Total	(13.9)	(5.9)	(24.3)	(20.8)
Income before provision for income taxes	264.6	264.2	523.2	499.4
Provision for income taxes	88.9	73.5	172.0	151.6
Net income	175.7	190.7	351.2	347.8
Less: net income attributable to noncontrolling interests	3.2	1.7	5.2	3.3
Net income attributable to Moody's Corporation	\$ 172.5	\$ 189.0	\$ 346.0	\$ 344.5
Earnings per share attributable to Moody's common shareholders				
Basic	\$ 0.77	\$ 0.83	\$ 1.55	\$ 1.51
Diluted	\$ 0.76	\$ 0.82	\$ 1.52	\$ 1.49
Weighted average number of shares outstanding				
Basic	223.9	228.2	223.7	228.6
Diluted	227.2	231.5	227.3	231.4

Supplemental Revenue Information

(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
<i>Amounts in millions</i>	2012	2011	2012	2011
Moody's Investors Service				
Corporate Finance	\$ 191.5	\$ 200.1	\$ 392.0	\$ 381.9
Structured Finance	90.7	86.3	185.0	175.7
Financial Institutions	77.8	79.1	156.6	156.0
Public, Project and Infrastructure Finance	81.2	72.5	160.3	137.0
Intersegment royalty	17.5	16.2	34.6	32.2
Sub-total MIS	458.7	454.2	928.5	882.8
Eliminations	(17.5)	(16.2)	(34.6)	(32.2)
Total MIS revenue	441.2	438.0	893.9	850.6
Moody's Analytics				
Research, Data and Analytics	121.4	111.0	240.9	220.6
Enterprise Risk Solutions	51.5	41.7	99.6	84.9
Professional Services	26.7	14.5	53.2	26.2
Intersegment revenue	2.9	2.6	5.9	5.2
Sub-total MA	202.5	169.8	399.6	336.9
Eliminations	(2.9)	(2.6)	(5.9)	(5.2)
Total MA revenue	199.6	167.2	393.7	331.7
Total Moody's Corporation revenue	\$ 640.8	\$ 605.2	\$1,287.6	\$1,182.3
Moody's Corporation revenue by geographic area				
United States	\$ 343.8	\$ 315.0	\$ 687.8	\$ 616.4
International	297.0	290.2	599.8	565.9
	\$ 640.8	\$ 605.2	\$1,287.6	\$1,182.3

Consolidated Interest (Expense) Income, Net (Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2012	2011	2012	2011
<i>Amounts in millions</i>				
Interest (expense) / income:				
Expense on borrowings	\$ (16.4)	\$ (16.3)	\$ (32.8)	\$ (32.7)
Income	1.2	1.3	2.5	2.3
Legacy Tax ^(a)	-	3.7	-	3.7
UTPs and other tax related liabilities	(1.5)	(3.4)	3.5	(7.0)
Interest Capitalized	0.1	0.6	(0.1)	1.4
Total interest (expense) income, net	\$ (16.6)	\$ (14.1)	\$ (26.9)	\$ (32.3)

(a) The three and six months ended June 30, 2011 amounts represent a reversal of \$2.8 million of accrued interest expense relating to the favorable resolution of a Legacy Tax Matter and \$0.9 million of interest income related to a pre-spinoff tax year.

Selected Consolidated Balance Sheet Data (Unaudited)

	June 30, December 31,	
	2012	2011
<i>Amounts in millions</i>		
Cash and cash equivalents	\$ 824.1	\$ 760.0
Short-term investments	15.4	14.8
Total current assets	1,519.4	1,424.4
Non-current assets	1,444.5	1,451.7
Total assets	2,963.9	2,876.1
Total current liabilities	995.2	1,134.0
Total debt ⁽¹⁾	1,238.3	1,243.8
Other long-term liabilities	679.1	667.5
Total shareholders' equity(deficit)	108.3	(158.4)
Redeemable noncontrolling interest*	70.5	60.5
Total liabilities, redeemable noncontrolling interest and shareholders' equity (deficit)	2,963.9	2,876.1
Actual number of shares outstanding	222.3	222.4

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

	June 30, December 31,	
	2012	2011
⁽¹⁾ Total debt consists of the following:		
Series 2005-1 Notes due 2015 ^(a)	313.5	311.5
Series 2007-1 Notes due 2017	300.0	300.0
2008 Term Loan due 2013 ^(b)	127.5	135.0
2010 Senior Notes due 2020 ^(c)	497.3	497.3
Total debt ^(d)	<u>1,238.3</u>	<u>1,243.8</u>

^(a) Includes a \$13.5 million and \$11.5 million fair value adjustment on an interest rate hedge at June 30, 2012 and December 31, 2011, respectively.

^(b) Various payments through 2013.

^(c) Represents \$500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount.

^(d) Of the total debt shown in the table above, \$127.5 million and \$71.3 million are classified within total current liabilities at June 30, 2012 and December 31, 2011, respectively, and consist of the current portion of borrowings under the 2008 Term Loan.

Reconciliation to Non-GAAP Financial Measures (Unaudited)

	2011					
	Three Months Ended June 30,			Six Months Ended June 30,		
	As Reported	Legacy Tax (a)	Non-GAAP Financial Measures*	As Reported	Legacy Tax (a)	Non-GAAP Financial Measures*
Interest (expense) income, net	\$ (14.1)	\$ (0.9)	\$ (15.0)	\$ (32.3)	\$ (0.9)	\$ (33.2)
Other non-operating (expense) income, net	\$ 8.2	\$ (6.4)	\$ 1.8	\$ 11.5	\$ (6.4)	\$ 5.1
Provision for income taxes	\$ 73.5	\$ (0.3)	\$ 73.2	\$ 151.6	\$ (0.3)	\$ 151.3
Net income attributable to Moody's Corporation	\$ 189.0	\$ (7.0)	\$ 182.0	\$ 344.5	\$ (7.0)	\$ 337.5
Earnings per share attributable to Moody's common shareholders						
Basic	\$ 0.83	\$ (0.03)	\$ 0.80	\$ 1.51	\$ (0.03)	\$ 1.48
Diluted	\$ 0.82	\$ (0.03)	\$ 0.79	\$ 1.49	\$ (0.03)	\$ 1.46

* In addition to its reported results, Moody's has included in the table above adjusted results that the Securities and Exchange Commission defines as "non-GAAP financial measures." Management believes that such non-GAAP measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period to period comparison of the Company's results. May not add due to rounding.

The tables above show Moody's consolidated results for the three and six month periods ended June 30, 2011, adjusted to exclude the impact of the following:

(a) To exclude benefits relating to the resolution of certain legacy tax matters.

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